

Palantir Technologies Inc.

PLTR NYSE

Hold	\$193.42 ▲ 0.70%	12M Price Target \$210.00	52-Week Range \$106.37 – \$207.52	Market Cap \$464.66B
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PLTR: Grinding Near Highs as Gov't AI Spend Flows

WHAT HAPPENED

- Quiet tape — no news, no filings, but PLTR is grinding higher for the 3rd straight day and now sits at 86% of its 52-week range. Translation: buyers are showing up without needing a catalyst, which usually means the market is positioning ahead of something (earnings in early November, or expectations of more gov't contract announcements).
- Options flow is leaning bullish — the put/call ratio of 0.57 means traders are buying nearly 2 calls for every put, and there's unusual call buying at the \$192.50 strike. Someone's betting on continued upside into October expiration.

WHY IT MATTERS

Here's what I think is really going on: PLTR is behaving like a stock that's being accumulated by institutions ahead of a known catalyst (earnings) in a policy environment that keeps breaking its way. The current administration's push to embed AI across DoD, ICE, HHS, and VA systems basically makes Palantir the default vendor — they're already inside, already cleared, already deployed. That's a moat competitors can't buy. The nuance: at \$464B market cap, a LOT of this good news is already in the price, so the setup is "beat and raise or get punished." Insider selling by two directors is worth noting but not alarming — these look like scheduled sales, not a cluster dump.

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 Defense Authorization bill working through conference committee includes expanded funding for the "AI-enabled battle management" line items where Palantir's Maven and TITAN programs sit — if that language survives, it's a direct multi-year revenue tailwind. Also keep an eye on the administration's AI procurement executive order that's streamlining how federal agencies buy AI software (fewer bake-offs, more sole-source awards to pre-cleared vendors) — PLTR is on the short list of beneficiaries. The one headwind: there's rising bipartisan noise about government AI oversight and civil liberties, particularly around ICE deployments, which could create reputational risk even if it doesn't dent revenue.

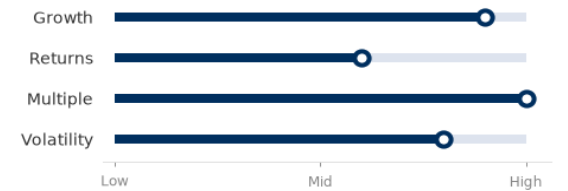
IS IT EXPENSIVE?

Let's be honest — this stock is expensive by any traditional measure. At ~\$193, you're paying roughly 95x next year's revenue and ~280x forward earnings, meaning investors are shelling out \$280 for every \$1 of profit the company is expected to make. For comparison, even high-flying software peers trade at 15-25x revenue. The only way this valuation works is if PLTR grows revenue 40%+ for the next 3-4 years AND margins expand — which is possible given gov't contract momentum, but leaves zero room for a stumble.

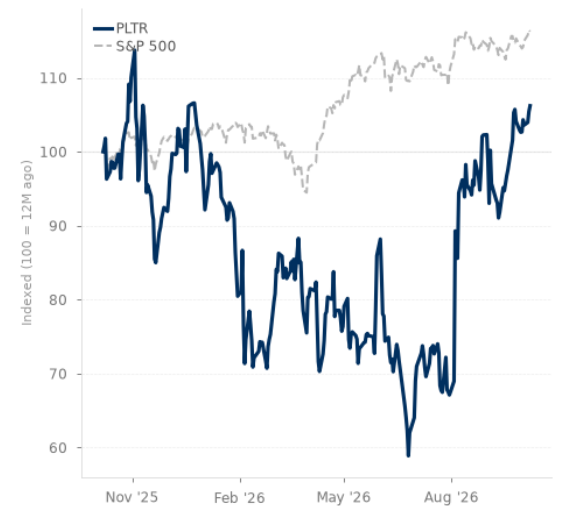
Key Data

Price (USD)	\$193.42
12M Price Target	\$210.00
Upside / (Downside)	+8.6%
Market Cap	\$464.66B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.68
FY2027E EPS	\$0.95
Fwd P/E	284.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$215.00	\$198.00	\$175.00
6 Months	\$240.00	\$205.00	\$160.00
1 Year	\$270.00	\$210.00	\$145.00
2 Years	\$340.00	\$240.00	\$130.00
5 Years	\$500.00	\$300.00	\$110.00
10 Years	\$800.00	\$420.00	\$90.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.4% today) is leading as rate-cut expectations firm up and defensive money rotates in. Utilities quietly up 4.6% over 5 days — classic "duration trade" on falling yields, but also an AI power-demand story.

COOLING OFF: Technology down 0.35% today despite being up 2.8% on the week — looks like profit-taking at the top of the range. Communications is flat, suggesting mega-cap tech enthusiasm is cooling slightly.

ROTATION WATCH: Money is quietly rotating OUT of pure-play mega tech and INTO AI-infrastructure beneficiaries (utilities, data center plays, defense-tech). PLTR sits at the intersection of defense + AI software, so it's getting flows that other software names aren't.

RELATED PLAY: If you believe the gov't AI thesis, look at the "picks and shovels" — data center REITs (DLR, EQIX) and the power utilities serving them (VST, CEG). They go up whether PLTR specifically wins or not.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): AI networking buildout beneficiary — every data center feeding AI models needs their switches.
- LDOS (Leidos): Defense IT services play catching bid as DoD AI budget expands — less sexy than PLTR but cheaper.

PLTR CONTEXT: PLTR is leading its peer group — up near 52-week highs while most software names are chopping sideways. That's a sign of exceptional relative strength, but it also means PLTR has the most to lose if sentiment on AI stocks turns. Leaders fall hardest.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business and the policy tailwind, but I can't pound the table at this valuation with earnings 4 weeks away.

POSITION SIZE: Keep it at 2-3% of portfolio. The upside is real but a bad earnings print could cost you 20% in a day — size for that reality.

ENTRY POINTS: I wouldn't chase here at \$193. Wait for a pullback to \$165-175, which is where it's bounced before and where the 50-day moving average will likely catch up.

TIME HORIZON: 12-24 months. The catalyst I'm watching is Q3 earnings (early November) and the final FY27 defense bill passage (likely December).

WHEN TO BAIL: If commercial revenue growth drops below 40% YoY, OR if they lose a major DoD program, OR if the stock breaks \$160 on heavy volume — any of those = exit.

HEDGING: Simplest hedge — buy a put option 10% below current price expiring after earnings. It's like paying for insurance; costs a bit but caps your downside if the quarter disappoints.